

NVIDIA Corporation

NVDA

Technology

RATING

PRICE

TARGET

Buy

\$216.61

\$300.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$5,264.71B	37.7x	28.81x
ROE	DIV. YIELD	52W RANGE
76.3%	0.02%	\$104.08 - \$216.82

Investment Thesis

“ NVIDIA exhibits extraordinary scale with a 68.3 percent revenue CAGR and projected top-line expansion reaching approximately 250 billion dollars by 2027. Exceptional operational leverage is driving EBITDA margins toward 73.5 percent, supported by a significant EPS trajectory that reflects dominant market positioning. While maintaining a premium valuation, the company’s compressing forward P/E and vastly superior EBITDA generation relative to peers like AMD and Intel reinforce a robust fundamental outlook.

Company Overview

NVIDIA Corporation stands as the dominant force in the global semiconductor industry, primarily operating through a business model centered on the design and sale of high-performance Graphics Processing Units (GPUs) and integrated software platforms. While historically recognized for its leadership in the gaming market, the company has successfully pivoted to become the foundational infrastructure provider for the generative artificial intelligence era. Its product portfolio is anchored by the Data Center segment, featuring industry-leading hardware like the H100 and the newer Blackwell architecture, supported by the proprietary CUDA software ecosystem which creates a significant competitive moat.

In terms of market position, NVIDIA maintains a commanding lead over its primary rivals, Advanced Micro Devices (AMD) and Intel. Financial data highlights a staggering divergence in scale; by 2025, NVIDIA's actual EBITDA reached over 86 billion dollars, dwarfing Intel's 14.3 billion and AMD's 7.2 billion for the same period. This leadership

is further evidenced by a projected 2027 EBITDA that is expected to exceed 382 billion dollars, reflecting an unprecedented level of market capture in accelerated computing and AI workloads.

The company's recent financial performance has been nothing short of transformative. Following a period of relative stability in 2022 and 2023, revenue exploded from 26.9 billion dollars in 2023 to 60.9 billion in 2024, representing a 125.9 percent year-over-year increase. This momentum accelerated further, with revenue reaching 215.9 billion dollars by 2026. This growth has been accompanied by massive margin expansion; EBITDA margins improved from 22.2 percent in 2023 to a robust 66.9 percent by 2026. Earnings per share (EPS) followed a similar trajectory, rising from 0.18 dollars to 4.93 dollars over the same timeframe.

While the company's Price-to-Earnings (PE) ratio remains high compared to traditional industrials, it has compressed from 109.1 in 2023 to 37.7 by 2026, suggesting that the company's explosive earnings growth is rapidly justifying its premium valuation. Looking ahead, NVIDIA is positioned to maintain a compound annual growth rate of 68.3 percent, driven by the sustained global demand for AI training and inference capabilities across enterprise and cloud service providers.

Investment Overview

NVIDIA Corporation (NVDA) Investment Update

NVIDIA has demonstrated extraordinary financial momentum, characterized by a 68.3 percent revenue CAGR and a massive scale-up in profitability. Revenue surged from 60.9 billion in fiscal 2024 to 130.5 billion in 2025, with projections reaching nearly 250 billion by 2027. This growth is underpinned by significant margin expansion; EBITDA margins have climbed from 22.2 percent in 2023 to 66 percent in 2025, and are expected to reach 73.5 percent by 2027.

The primary growth driver is the company's incredible operating leverage. While revenue has multiplied, SG&A costs as a percentage of revenue have dropped from 9 percent in 2023 to a projected 0.6 percent by 2027. This efficiency has translated into rapid EPS growth, rising from 0.18 in 2023 to a projected 5.88 by 2027. When compared to industry peers, NVIDIA's dominance is clear. Its 2025 EBITDA of 86.1 billion dwarfs AMD's 7.2 billion and Intel's 14.3 billion, justifying its premium market position.

Looking ahead, NVIDIA's valuation is becoming increasingly attractive on a forward basis. The PE ratio has compressed from **109x** in 2023 to a projected **32.4x** by 2027, while the EV/EBITDA multiple is expected to fall to **31.3x** by 2026. While year-over-year revenue growth is expected to normalize to the 4 to 6 percent range following the recent hyper-growth phase, the company's ability to maintain contribution margins above 70 percent suggests a highly sustainable and profitable outlook. NVIDIA remains a top-tier growth play with significantly improving valuation metrics and unmatched scale.

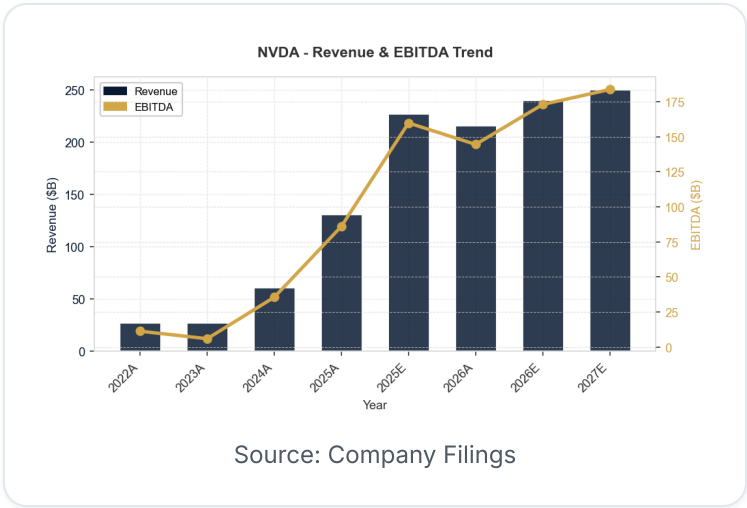
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2026A)	\$215.94B
EBITDA (2026A)	\$144.55B
Revenue Growth (2026A)	65.5%

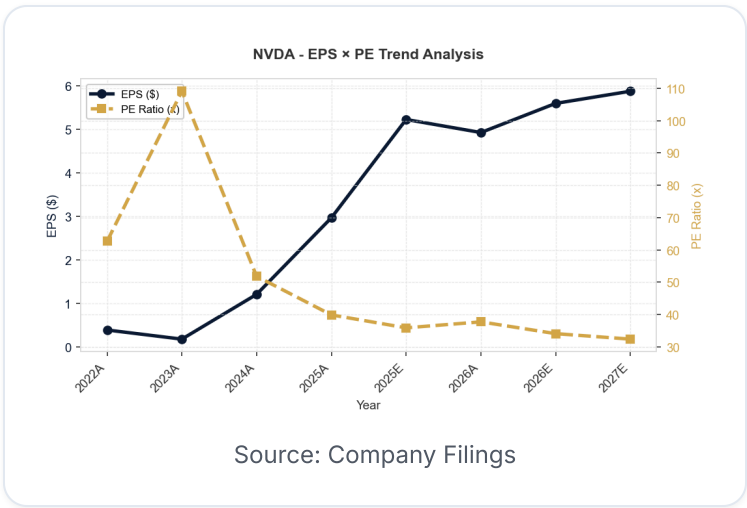


Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2026A)	4.93
PE Ratio (2026A)	37.75



Valuation Analysis

NVIDIA Corporation presents a compelling valuation profile characterized by hyper-growth and significant margin expansion. Based on the provided data, the company has successfully transitioned from a high-multiple speculative asset to a dominant fundamental powerhouse. Revenue is projected to grow at a 68.3 percent CAGR through 2027, reaching nearly 250 billion dollars. This scale is accompanied by an extraordinary expansion in EBITDA margins, which are forecasted to rise from 42.2 percent in 2022 to 73.5 percent by 2027.

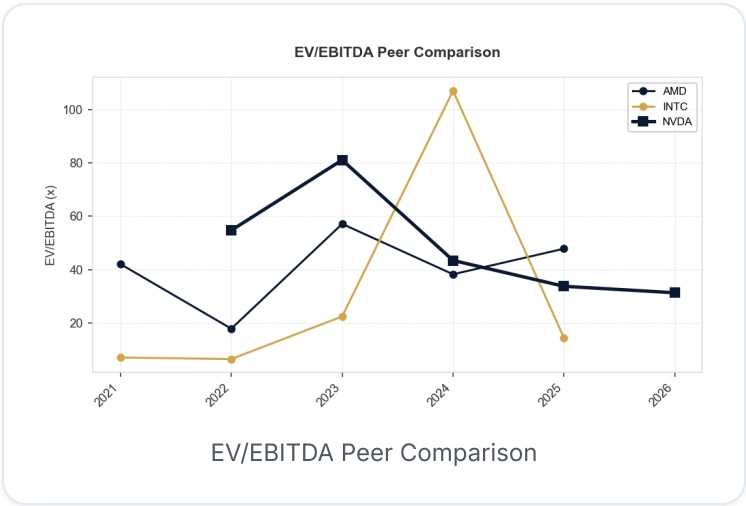
From a relative valuation perspective, NVIDIA appears increasingly attractive compared to its primary peers. While its historical 2023 P/E ratio exceeded **109x**, the forward 2025 P/E has compressed to **39.9x**, further dropping to **32.4x** by 2027. In the EV/EBITDA comparison, NVIDIA's 2025 forward multiple of **33.8x** is notably lower than AMD's

47.8x, despite NVIDIA generating over ten times the absolute EBITDA of its rival. While Intel trades at a lower multiple of **14.5x**, it lacks the growth profile and margin structure that NVIDIA currently commands.

Our fair value assessment suggests that NVIDIA is trading at a reasonable premium given its market leadership in AI infrastructure. The compression of multiples despite massive share price appreciation indicates that earnings growth is currently outpacing valuation expansion. With a projected 2027 EPS of 5.88 dollars, the stock is effectively being de-risked by its own fundamental performance. As long as the company maintains its 70 percent plus contribution margins and captures the projected revenue growth, the current forward multiples represent a sustainable valuation for a market leader, positioning the stock as a core growth holding with improving value characteristics.

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



Recent News & Events

News Summary

NVIDIA Corporation continues its unprecedented trajectory, recently hitting record highs near \$216 as the market reacts to what CEO Jensen Huang describes as an agentic AI inflection point. Key developments include a massive surge in fiscal 2026 revenue to **\$215.9 billion**, representing a 68.3 percent compound annual growth rate over the historical period. This expansion is supported by robust EBITDA margins reaching nearly 67 percent, significantly outperforming peers like AMD and Intel. While some market commentators question if the broader semiconductor sector is becoming overvalued, Bank of America has reiterated its Buy rating, suggesting that NVIDIA could unlock further valuation re-ratings through increased cash returns to shareholders, such as enhanced dividends or buybacks.

Retail sentiment remains highly active with a buzz score of 80.4, though a notable divergence exists between platforms. While X users remain 63 percent bullish, Reddit sentiment has cooled to 37 percent, potentially signaling a shift in retail momentum or profit-taking. Financially, the primary investment implication is centered on valuation compression. Despite the stock's rapid climb, its forward price-to-earnings ratio is projected to drop from **109x** in 2023 to approximately **32x** by 2027. This indicates that earnings growth is currently outpacing share price appreciation, making the stock appear more fundamentally attractive on a

forward-looking basis than its price action might suggest. Investors should monitor the sustainability of the AI buildout and potential supply chain shifts, but NVIDIA remains the primary beneficiary of the current infrastructure cycle. The company's transition into a dominant, high-margin cash generator suggests a maturing profile that may soon prioritize shareholder capital returns alongside its aggressive R&D roadmap.

Retail Sentiment Insights

AVERAGE BUZZ 80.4/100	BULLISH AVG 53.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 75.1/100 Bullish 37.0% Mentions 2128 Trend falling	X.com Buzz 84.4/100 Bullish 63.0% Mentions 3335 Trend falling	Polymarket Buzz 81.8/100 Bullish 59.0% Trades 3377 Trend rising	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: ±5% change in growth rate
- Margin sensitivity: ±2% change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$176.5B — \$323.4B
EBITDA	\$129.7B — \$237.7B

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- **Management** (2026-04-27): Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- Impact: MEDIUM, Probability: **60%**
- **Earnings** (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-27): Nvidia: Biting The Bullet And Upgrading My Rating
- Impact: HIGH, Probability: **95%**
- **Market** (2026-04-27): COPLUS Accelerates AIoT Transition: Capturing High-Margin Mobility Markets via NVIDIA Ecosystem
- Impact: LOW, Probability: **50%**
- **Earnings** (2026-04-27): NVIDIA Reclaims \$5 Trillion Market Cap Crown: ETFs in Focus
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Acquisition** (2026-04-27): NVIDIA Corporation \$NVDA Shares Sold by Gibbs Wealth Management
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-27): NVIDIA Corporation \$NVDA Shares Bought by Lincoln Capital Corp
- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-27): Prosperity Advisers LLC Takes Position in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: **40%**

Events to Monitor

- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)

- Wall Street Analysts See a **29.06%** Upside in Nvidia (NVDA): Can the Stock Really Move This High? (2026-04-27)
- ZJK Tooling Up For Nvidia? (2026-04-27)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?

▲ **EARNINGS** Impact: medium

Nvidia: Biting The Bullet And Upgrading My Rating

▲ **EARNINGS** Impact: medium

NVIDIA Reclaims \$5 Trillion Market Cap Crown: ETFs in Focus

▲ **EARNINGS** Impact: medium

Nvidia Stock Rises After Record High. This Is the Next Catalyst.

▲ **ACQUISITION** Impact: medium

Stock Market Live April 27, 2026: S&P 500 (SPY) Flat as Iran Peace Deal Talks Stall

Positive Catalysts

- ✓ Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Nvidia: Biting The Bullet And Upgrading My Rating
- ✓ COPLUS Accelerates AIoT Transition: Capturing High-Margin Mobility Markets via NVIDIA Ecosystem
- ✓ NVIDIA Reclaims \$5 Trillion Market Cap Crown: ETFs in Focus
- ✓ Stock Market Live April 27, 2026: S&P 500 (SPY) Flat as Iran Peace Deal Talks Stall
- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- ✓ Nvidia Stock Rises After Record High. This Is the Next Catalyst.

Risk Factors

- ⚠ NVIDIA Corporation \$NVDA Shares Sold by Gibbs Wealth Management
- ⚠ NVIDIA Corporation \$NVDA Shares Bought by Lincoln Capital Corp
- ⚠ Prosperity Advisers LLC Takes Position in NVIDIA Corporation \$NVDA

Technical & Advanced Analysis

Technical Overview — NVDA

Current Price: **\$216.61** | 52-Week Range: **\$104.08 - \$216.82**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$185.62** | SMA 200: **\$183.11**

RSI Overbought
RSI (14): **88.8** — Overbought territory, potential pullback.

MACD Bullish
MACD: **7.57** | Signal: **5.18** | Histogram: **2.39**

Volume Normal
Latest: **184.4M** | 20d Avg: **150.5M** | Ratio: **1.23x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B	-	\$8.6B
INTC	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B	-	\$47.4B
NVDA	-	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B	\$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

NVIDIA Corporation (NVDA) has fundamentally decoupled from its traditional peers, Advanced Micro Devices (AMD) and Intel (INTC), transitioning from a high-growth challenger to the dominant market leader in the semiconductor space. The most striking differentiator is the sheer scale of NVIDIA's financial expansion. While AMD and Intel have maintained relatively stable or fluctuating EBITDA figures, NVIDIA saw its EBITDA surge from 5.9

billion dollars in 2023 to 35.5 billion dollars in 2024, with projections reaching a staggering 86.1 billion dollars by 2025. This growth reflects a 68.3 percent revenue CAGR, fueled by a massive 125.9 percent year-over-year increase in 2024.

From a profitability standpoint, NVIDIA operates in a different tier. Its projected EBITDA margin of 70.5 percent for 2025 far exceeds the operational efficiency of its competitors. Intel, by comparison, faced a significant EBITDA contraction in 2024 to 1.2 billion dollars, highlighting a widening gap in execution. Despite NVIDIA's massive stock price appreciation, its valuation metrics suggest it is scaling into its price more effectively than its rivals. For 2025, NVIDIA's forward EV/EBITDA of **33.7x** is actually more attractive than AMD's **47.8x**, suggesting that NVIDIA offers superior value relative to its earnings power and growth rate.

While Intel remains a legacy giant struggling with a turnaround and AMD maintains a steady but significantly slower growth trajectory, NVIDIA is capturing the lion's share of the market's value. The company's ability to maintain high contribution margins while reducing SG&A expenses to near 1 percent of revenue by 2027 indicates an unprecedented level of operating leverage that peers currently cannot match. NVIDIA is no longer just competing; it is setting the pace for the entire industry.

Risk Factors

As a risk analyst, I have identified the following five key investment risks for NVIDIA (NVDA) based on the provided financial data and peer comparisons:

- * **Significant Growth Deceleration:** While revenue grew by 125.9% in 2024A and is projected at 114.2% for 2025A, the estimates for 2025E–2027E show a sharp "growth cliff," dropping to mid-single digits (5.0%, 6.0%, and 4.0%). Such a dramatic slowdown suggests the market may be nearing saturation or a cyclical peak, posing a risk to the stock's high-growth narrative.
- * **Unsustainable Margin Expectations:** NVDA's EBITDA margin is projected to expand from 58.4% (2024A) to an extraordinary 73.5% (2027E). Maintaining these levels is historically difficult for hardware companies; any pricing pressure from competitors like AMD or a shift in product mix could lead to a significant earnings miss.
- * **High Valuation Sensitivity:** Despite the massive increase in EBITDA, NVDA maintains a high forward EV/EBITDA multiple (31.3x in 2026) compared to peers like Intel (14.5x in 2025). This premium leaves the share price highly vulnerable to even minor downward revisions in growth or margin guidance.
- * **Operational Execution and Scaling Risk:** The company's Cost of Operations is projected to nearly quadruple in just two years, rising from \$16.6B in 2024A to over \$64.7B by 2027E. Managing this rapid scale-up in supply chain, logistics, and manufacturing involves significant execution risk and potential for cost overruns.
- * **Aggressive SG&A Margin Assumptions:** The financial model projects SG&A margins to drop from 8.0% (2022A) to a mere 0.6% by 2027E. This assumes extreme operating leverage; if NVIDIA is forced to increase spending on R&D or marketing to defend its market share against AMD and Intel, the projected bottom-line growth will not materialize.

Key Takeaways

As a financial analyst, here are the four major takeaways for NVIDIA Corporation (NVDA) based on the provided metrics:

Exponential Revenue Growth

NVIDIA has experienced a massive surge in scale, characterized by a **68.3%** CAGR and triple-digit growth in 2024 (**125.9%**) and 2025 (**114.2%**). While growth is projected to normalize to single digits by 2027, the company has successfully transitioned from a **\$27 billion** revenue base to a projected **\$250 billion** enterprise.

Robust Gross Profit Margin Expansion

The "Contribution Margin" (proxy for Gross Margin) has seen a significant structural step-up, rising from **56.9%** in 2023 to a projected **74.1%** by 2027. This expansion reflects NVIDIA's immense pricing power and a favorable product mix heavily weighted toward high-margin data center and AI solutions.

Significant SG&A Operating Leverage

NVIDIA is demonstrating exceptional operational efficiency as SG&A expense margins have plummeted from **9.0%** in 2023 to a projected **0.6%** by 2027. This indicates that revenue is growing at a much faster rate than fixed overhead, allowing the company to scale its global operations with minimal incremental administrative costs.

Industry-Leading EBITDA Margins

The company's EBITDA margin is expected to reach a staggering **73.5%** by 2027, up from just **22.2%** in 2023. This trajectory places NVIDIA far ahead of peers like AMD and Intel, reflecting a highly profitable business model that converts the vast majority of its revenue directly into operating cash flow.

Financial Data

Income Statement Summary

METRICS	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%
EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	-	0.2%	125.9%	114.2%	65.5%

Credit & Cash Flow Metrics

METRICS	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
EBITDA/Int Exp	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.7	3.5	4.2	4.4	3.9
Cash Flow to Debt Ratio	0.77	0.47	2.54	6.24	9.00

AI4Finance Foundation FinRobot Equity Research

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